

PT Anabatic Technologies Tbk

Ticker = **IDX.ATIC**

Price/Market cap = Rp378.00/Rp 871.91B

Basic company information

Founded	Employees	CEO	Website
2001	1,495	Harry Hambali	www.anabatic.com

PT Anabatic Technologies Tbk, together with its subsidiaries, provides mission critical digital, digital outsourcing, cloud and digital platform partner, and financial technology services in Indonesia. It offers mission critical solutions, such as digital core banking, loan origination system, customer relationship management, and digital on boarding; digitally outsourcing services, including assisting in finding a workforce ready for onboarding and managing the workforce using a sophisticated IT system to produce a positive employee experience, as well as integrating applications, infrastructure, and operations into a holistic solution. The company also provides cloud and digital platform solutions comprising IT infrastructure, cloud technology, cybersecurity, and managed services.

In addition, it engages in the trading and service, property, integrity system, building management, system integration, information technology, contact center and telemarketing, chat automation, payroll and IT outsourcing, products and services trading, computer and electronic trading, money remittance , P2P lending, web and digital design, security training, business process outsourcing, office supplies and spare parts trading, management consultation and software activities. It serves banking, telecommunications, and pharmaceutical industries, as well as governments. PT Anabatic Technologies Tbk was founded in 2001 and is headquartered in South Jakarta, Indonesia.



*: Price per 2 December 2024, 10:02am

Finances

Income statement analysis



The company has shown a clear upward trend, achieving a 30.69% YoY revenue increase over four consecutive years (2022-2023). It reached profitability in 2022, and by Q3 2024, revenue surpassed the 2023 total of Rp 10.27 billion, reaching Rp 10.52 billion. Net income improved significantly from a loss of Rp 615.02 billion in 2020 to a profit of Rp 235.10 billion, reflecting robust YoY growth. While EBITDA in Indonesian markets can be unreliable due to accounting practices, the consistently strong positive EBITDA remains a reassuring indicator.

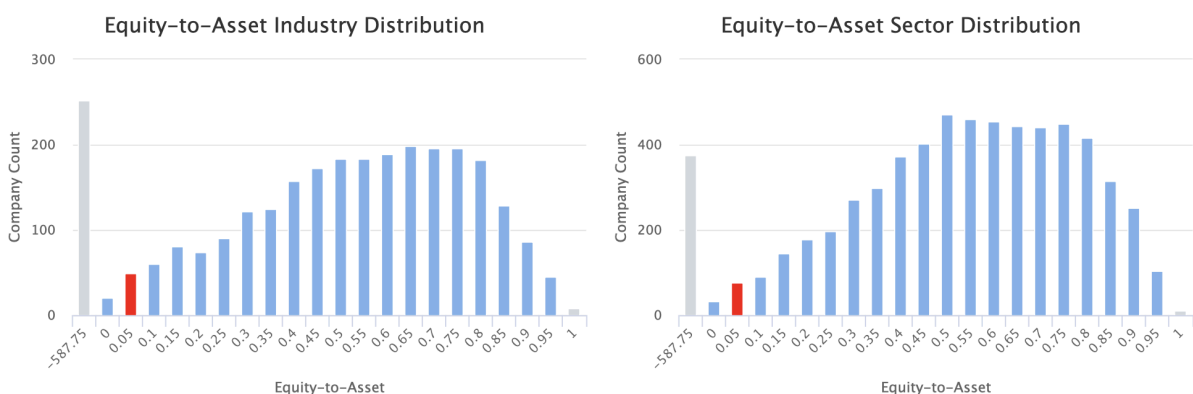
Financial Strength					Profitability Rank				
6/10					7/10				
Name	Current		Vs Industry	Vs History	Name	Current		Vs Industry	Vs History
Cash-To-Debt	0.37				Gross Margin %	11.81			
Equity-to-Asset	0.07				Operating Margin %	6.06			
Debt-to-Equity	5.06				Net Margin %	2.27			
Debt-to-EBITDA	2.01				FCF Margin %	2.88			
Interest Coverage	3.91				ROE %	150.29			
PE Ratio	3.94				ROA %	5.15			
PE Ratio without NRI	4.62				ROIC %	11.35			
Price-to-Owner-Earnings	4.37				3-Year ROIIC %	78.89			
PS Ratio	0.1				ROC (Joel Greenblatt) %	91.84			
PB Ratio	2.97				ROCE %	66.4			
Price-to-Tangible-Book	3.26				Years of Profitability over Past 10-Year	8			
Price-to-Free-Cash-Flow	3.38								
Price-to-Operating-Cash-Flow	3.05								

The company adequately covers its debt obligations with available cash. However, its equity-to-asset ratio is only 7%, and its debt-to-equity ratio stands at 5.06. This is based on total stockholder equity of Rp 439.66 billion, total assets of Rp 4.43 trillion, and total debt of Rp 3.99 trillion. A low equity ratio indicates that the company primarily uses debt to acquire assets, which is generally viewed as a sign of higher financial risk. Alternatively, it could suggest that the company's shares are currently undervalued relative to its earnings and assets. Additionally, the company's performance in 2021 and 2022 may have contributed to low retained earnings.

PT Anabatic Technologies Tbk's Equity-to-Asset Distribution in the Software Industry

For the **Software** industry and **Technology** sector, PT Anabatic Technologies Tbk's Equity-to-Asset distribution charts can be found below:

* The bar in red indicates where PT Anabatic Technologies Tbk's Equity-to-Asset falls into.



The company is highly productive yielding a 3.94x PE Ratio doing better than 97.52% of competing companies in the software industry in an industry with a median of 26.84x. It is also almost the lowest in the company's history at 3.35x. Other complex PE metrics also indicate that the company is healthy and productive in comparison to its valuation. In comparison to its valuation, the company also has a large free and operating cash flow size compared to other companies and its history.

PT Anabatic Technologies Tbk (ATIC) recently reported a gross margin of approximately 11.76%, which is lower than the industry average of 13% to 14%. Several factors may contribute to this comparatively lower gross margin:

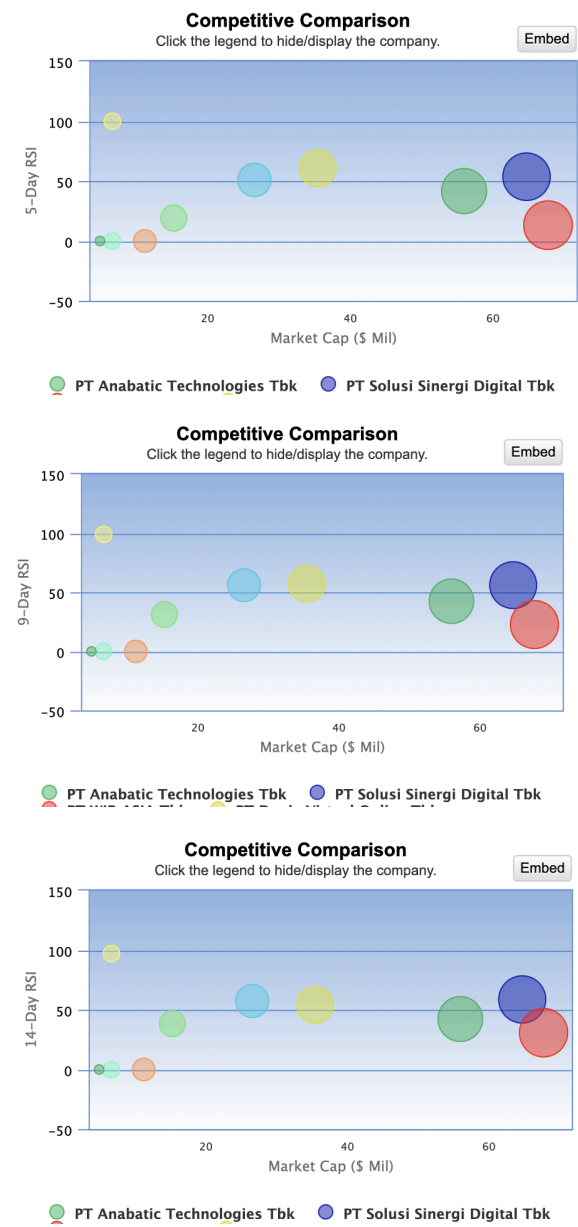
- **Cost Structure:** ATIC's cost of revenue is high relative to its total revenue, leading to a narrower gross profit margin. Elevated costs in procurement, production, or service delivery could be contributing factors.
- **Pricing Strategy:** To remain competitive, ATIC may adopt aggressive pricing strategies, potentially reducing its gross margin compared to peers who can command higher prices for similar services.

- **Product Mix:** The company's portfolio includes mission-critical digital solutions, digital outsourcing, cloud services, and financial technology services. A significant portion of revenue from lower-margin services adversely affects the overall gross margin.
- **Operational Efficiency:** A high debt-to-equity ratio of 335.8% indicates significant leverage, which can impact operational efficiency and profitability, thereby affecting gross margins.

Despite the lower gross margin, it's important to note that ATIC has shown substantial revenue growth of 30.69% year-over-year, indicating strong operational performance. Additionally, the current gross margin rate of 11.76% is the lowest in the company's history, suggesting that the figure might be suppressed due to an aggressive approach to growth. Other companies in the industry, such as PT WIR ASIA Tbk (WIRG), which has a similar market capitalization of approximately Rp 1.08 trillion, also report comparable gross margin rates of around 12.19%. This similarity suggests that ATIC's lower gross margin may be consistent with industry norms for companies of similar size and market presence.

The company's returns on equity, assets, and operating income are all relatively high. Its three-year Return on Invested Capital (ROIC) stands at 78.89%, placing it in the top 88.8% within the sector. Additionally, its Return on Capital Employed (ROCE) is 66.4%, ranking in the top 98.7% within the sector and nearing the company's record high of 68.6%. These exceptional performance metrics indicate that the company is highly efficient in generating profits from its investments and capital. This efficiency reflects strong operational performance and effective management strategies, suggesting a competitive advantage within the sector and a strong potential for sustainable growth.

Momentum



Competitive Comparison Data			
Ticker	Company	Market Cap (M)	5-Day RSI
ISX:ATIC	PT Anabatic Technologies ...	\$ 55.00	41.70
ISX:WIFI	PT Solusi Sinergi Digital Tbk	\$ 63.76	53.67
ISX:WIRG	PT WIR ASIA Tbk	\$ 66.78	13.18
ISX:AREA	PT Dunia Virtual Online Tbk	\$ 34.47	60.66
ISX:TRON	PT Teknologi Karya Digital...	\$ 25.60	50.97
ISX:ELIT	PT Data Sinergitama Jaya...	\$ 14.30	19.08
ISX:JATI	PT Informasi Teknologi Ind...	\$ 10.25	0.00
ISX:NINE	PT Techno9 Indonesia Tbk	\$ 5.69	99.87
ISX:ENVY	PT Envy Technologies Ind...	\$ 5.66	0.00
ISX:TECH	PT Indosterling technome...	\$ 3.95	0.00

Competitive Comparison Data			
Ticker	Company	Market Cap (M)	9-Day RSI
ISX:ATIC	PT Anabatic Technologies ...	\$ 55.00	42.47
ISX:WIFI	PT Solusi Sinergi Digital Tbk	\$ 63.76	56.06
ISX:WIRG	PT WIR ASIA Tbk	\$ 66.78	22.72
ISX:AREA	PT Dunia Virtual Online Tbk	\$ 34.47	57.27
ISX:TRON	PT Teknologi Karya Digital...	\$ 25.60	56.04
ISX:ELIT	PT Data Sinergitama Jaya...	\$ 14.30	31.28
ISX:JATI	PT Informasi Teknologi Ind...	\$ 10.25	0.00
ISX:NINE	PT Techno9 Indonesia Tbk	\$ 5.69	98.97
ISX:ENVY	PT Envy Technologies Ind...	\$ 5.66	0.00
ISX:TECH	PT Indosterling technome...	\$ 3.95	0.00

Competitive Comparison Data			
Ticker	Company	Market Cap (M)	14-Day RSI
ISX:ATIC	PT Anabatic Technologies...	\$ 55.00	42.31
ISX:WIFI	PT Solusi Sinergi Digital Tbk	\$ 63.76	58.71
ISX:WIRG	PT WIR ASIA Tbk	\$ 66.78	30.88
ISX:AREA	PT Dunia Virtual Online Tbk	\$ 34.47	54.06
ISX:TRON	PT Teknologi Karya Digita...	\$ 25.60	57.41
ISX:ELIT	PT Data Sinergitama Jaya...	\$ 14.30	38.52
ISX:JATI	PT Informasi Teknologi In...	\$ 10.25	0.00
ISX:NINE	PT Techno9 Indonesia Tbk	\$ 5.69	97.11
ISX:ENVY	PT Envy Technologies Ind...	\$ 5.66	0.00
ISX:TECH	PT Indosterling technome...	\$ 3.95	0.00

Within its sector, PT Anabatic Technologies has exhibited strong performance as indicated by the Relative Strength Index (RSI). Notably, PT Solusi Sinergi Digital Tbk, which shares similar 5-day, 9-day, and 14-day RSI strengths, has delivered a substantial year-to-date return of 174.03% over the past year. This correlation suggests that PT Anabatic Technologies could be poised for significant appreciation in its stock price. A strong RSI typically reflects positive momentum, indicating that the stock may be gaining investor interest and could continue to perform well. Therefore, the similar RSI profiles between these companies may imply that PT Anabatic Technologies has the potential to experience

comparable positive movements in its stock price, enhancing its attractiveness to investors seeking growth opportunities.

Shareholder returns

	ATIC	Industry	Market
7 Day	-0.5%	-2.3%	-0.4%
30 Day	-4.1%	15.8%	-5.1%
90 Day	-13.3%	43.8%	-8.7%
1 Year	5.0% 5.0%	39.2% 38.5%	9.8% 6.6%

Although ATIC has underperformed relative to its industry peers, it has yielded returns similar to the overall market. The stock has not experienced significant price volatility in the past three months compared to the Indonesian market. ATIC's weekly volatility is 4%, which has remained stable over the past year and is lower than the industry average of 7%. Despite a gradual decline of 13.3% in its share price over the last 90 days, there are no signs indicating imminent volatility. This stability suggests that while the stock price has decreased, it is not prone to sudden fluctuations, making it a potentially steady investment within the sector.

Corporate Governance

Leadership team			
Name	Position	Tenure	Ownership
2001	President Director	6.7 years	2.04%

Leadership team

Anabatic Technologies' CEO is Harry Hambali, appointed in Apr 2018, has a tenure of 6.67 years. directly owns 2.04% of the company's shares, worth IDR17.83B. The average tenure of the management team and the board of directors is 7.8 years and 4.4 years respectively. Although the CEO has a relatively small stake in the company compare to its peers. In Oct 17 the CEO bought an 10B worth of stake in the company showing bullish prospect in the company future price. The board members of the company has an average tenure of 4.4 years and management on average have stayed in the company for 7.8 years.

Swot Analysis

Shareholder structure